



Inox Leisure's Q4FY22 numbers were slightly disappointing and below our estimates across the board

- Revenue from operations at INR 3,177 Mn vs +7% qoq / +351% yoy and 8% below our estimate of INR 3,472 Mn
- EBITDA stood at INR 983 Mn vs INR 1,318 Mn qoq / loss of INR (137) Mn yoy and below our estimate of INR 1,122 Mn
- EBITDA margins stood at 30.9% Vs 44.4% QoQ / (15.2%) YoY
- PBT loss stood at a meagre INR (318) Mn vs loss of INR (16) Mn / Loss of INR (1,170) Mn yoy
- PAT loss stood at INR (282) Mn vs loss of INR (13) Mn qoq and loss of INR (896) Mn yoy
- EPS stood INR (2.3) vs INR (0.1) qoq / INR (8.7) yoy
- Occupancy stood at 24% in Q4FY22 vs 19% in Q3FY22
- Inox added 14 screens in Q4FY22 and 32 screens in FY22
- Admits stood at 11 Mn in Q4FY22 vs 9.4 Mn in Q3FY22 and 3.4 Mn in Q4FY21 respectively
- ATP stood at INR 218 in Q4FY22 vs INR 226 in Q3FY22 and INR 172 Q4FY21 respectively
- SPH stood at INR 86 in Q4FY22 vs INR 97 in Q3FY22 and INR 78 in Q4FY21 respectively

Financial Summary

Y/E Mar (Rs mn)	FY19	FY20	FY21E	FY22	FY23E	FY24E
Net sales	16,922	18,974	1,059	6,839	20,659	25,683
Adjusted net profit	1,335	150	(3,336)	(2,166)	816	2,089
Free cash flow	10	1,849	407	885	3,606	6,655
EPS (Rs)	13.0	1.5	(29.7)	(19.3)	7.3	18.6
P/E (x)	37.8	336.5	(16.6)	(25.5)	67.9	26.5
P/B (x)	5.2	8.1	8.7	13.4	11.2	7.9
EV/EBITDA (x)	16.6	13.1	165.9	38.7	14.3	11.0
D/E	0.1	0.2	0.1	0.2	0.1	0.1
RoCE (%)	21.9	47.0	-27.3	-6.5	63.6	67.1
RoE (%)	13.9	2.4	-52.7	-52.6	16.5	29.7

Source: Company

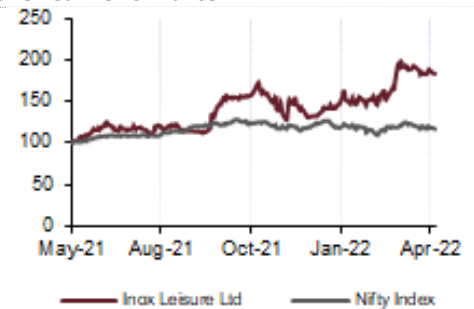
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	560	14

Market data

Current price	Rs	491
Market Cap (Rs.Bn)	(Rs Bn)	60
Market Cap (US\$ Mn)	(US\$ Mn)	785
Face Value	Rs	10
52 Weeks High/Low	Rs	"564/252
Average Daily Volume	('000)	604
BSE Code		532706
Bloomberg		INOL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	44.04	43.63
Public	55.84	56.25
Othres	0.12	0.12
Total	100	100

Source: Bloomberg

Concall Highlights

- Q4FY22 had 6 blockbusters lined up. January was soft, February saw things heating up and March was a Blockbuster month with highest ever GBOC in history. Management stated that things have only improved in April
- All Rent & CAM negotiations have closed and Inox is paying Rent as per exhibant. Rent stood at INR 89 Cr in Q4FY22 versus INR 51.3 Cr in Q3FY22
- Distributor share has returned to pre-COVID normal now
- Number of movies per day has also gone back to normal at 4+ movies per day versus 3+ movies per day in Q4FY22
- ATP and SPH fell QoQ as Q3FY22 was a festive quarter and company could charge higher. Expect ATP and SPH to increase at inflation rate (8-10%) per annum going ahead with a positive bias due to better content, festivities, property, etc.
- Pipeline of movies is also great and back to normal (900-1000 movies per year). This Friday itself is seeing 20 titles releasing. Plus, Dr. Strange has seen strong bookings, KGF2 has been a massive blockbuster, Acharya has seen healthy footfalls and have great hope from Jayeshbhai Jordaar, Bhool Bhulaiya 2, Jurassic Park Dominion and TopGun Maverick
- Ad revenue should revert to normal in 2-3 quarters as advertisers gains confidence
- Fixed Costs stood at INR 76-77 Cr in March versus pre-COVID normal of INR 82 Cr. Absolute amount should go up as Electricity and Manpower Costs will go up but Cost Per Screen should come remain same due to efficiencies adopted during COVID times.
- Inox added 32 screens in FY22 and plans to add 77 screens in FY23. Company has already signed agreements for 840 screens for future and once implemented, total screens will stand at 1,592.
- No additional update on Merger with PVR. Papers have been sent to exchanges and company is awaiting response. Timeline remains same at 6-9 months as stated earlier.
- Launched closed loop wallet called Inox Instapay wherein the customer earns points when one loads money on to wallet and can redeem these points for tickets or F&B.
- Cash and Cash Equivalents stood at INR 260 Cr + Undrawn limit of INR 120 Cr
- Gross Debt stood at INR 85 Cr

Quarterly Deviation Sheet

Particulars (Rs. Mn)	Q4FY22	Q3FY22	Q4FY21	QoQ Growth (%)	YoY growth (%)
Revenue	3,177	2,965	904	7%	251%
Other Income	77	49	286	57%	-73%
Total Income	3,254	3,014	1,191	8%	173%
Expenses					
Movie Exhibition Cost	921	846	235	9%	292%
F&B Cost	196	183	68	7%	189%
Employee Cost	226	240	259	-6%	-13%
Rent	(203)	(478)	(263)	-58%	-23%
Other expenses	1,054	856	743	23%	42%
Total	2,194	1,647	1,042	33%	111%
EBITDA	983	1,318	(137)	-25%	N.A.
	30.95%	44.44%	-15.18%		
Depreciation	735	738	701	0%	5%
EBIT	248	580	(838)	-57%	N.A.
Finance Cost	643	645	617	N.A.	4%
Exceptional Item	0	0			
PBT	(318)	(16)	(1,170)	N.A.	N.A.
Taxes	(37)	(3)	(274)	N.A.	N.A.
PAT	(282)	(13)	(896)	N.A.	N.A.
Adj. PAT	(282)	(13)	(896)	N.A.	N.A.
EPS	(2.31)	(0.11)	(8.73)	N.A.	N.A.

Source: Company, D&B Research

Valuation & Outlook

Inox Leisure is currently trading at 14.3x / 11x FY23e/FY24e EPS respectively.

Q4FY22 performance was slightly lower than our estimates but on a strong recovery trajectory. Despite a lower run-rate of movies per day, GBOC of March 2022 were the highest ever in the history of the company – indicating that masses have returned to cinema post the pandemic.

Management has indicated that the number of movies per day has returned to pre-COVID normal of 4+ and pipeline of movies is also healthy and back to pre-COVID normal of 900-1000 movies per annum.

Inox also has an extremely strong balance sheet position which can back up its aggressive plans of adding 840 screens.

Taking the above factors into consideration, we maintain a BUY ON DIPS rating as we apply a target EV/EBITDA multiple of 12x FY24e EBITDA estimates to arrive at a target of INR 560.

Financials

P&L (Rs mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Sales	16,922	18,974	1,059	6,839	20,659	25,683
Expenses	13,838	13,006	562	4,673	14,488	17,779
EBITDA	3,083	5,968	498	2,167	6,171	7,904
Depreciation	955	2,642	2,832	2,889	3,033	3,185
EBIT	2,129	3,327	(2,334)	(722)	3,138	4,719
Other income	149	172	423	412	409	408
Interest	237	2,212	2,511	2,586	2,457	2,334
Profit before tax	2,041	1,286	(4,423)	(2,896)	1,090	2,793
Exceptional Items	50	-	-	-	-	-
share of profit/loss in JV	-	-	-	-	-	-
PBT (Post Extra Ordinary)	1,991	1,286	(4,423)	(2,896)	1,090	2,793
Provision for tax	656	1,136	(1,087)	(730)	275	704
Reported PAT	1,335	150	(3,336)	(2,166)	816	2,089
Balance Sheet	FY19	FY20	FY21	FY22	FY23E	FY24E
Equity capital	1,026	1,027	1,125	1,125	1,125	1,125
Reserves	8,612	5,192	5,205	2,997	3,813	5,902
Net worth	9,638	6,219	6,329	4,122	4,938	7,027
Non Current Liabilities	1,457	27,041	27,873	29,598	33,861	33,782
Current Liabilities	3,694	4,895	3,640	3,376	4,590	4,901
CAPITAL EMPLOYED	14,789	38,154	37,842	37,096	43,389	45,710
Non Current Assets	13,275	36,411	36,347	34,896	40,639	41,928
Fixed Assets	9,686	32,110	31,128	29,973	35,633	36,829
Non Current Investments	6	2	1	1	1	1
Non Current tax assets	616	1,847	2,853	2,853	2,853	2,853
Long Term Loans and Advances	892	1,016	1,048	838	922	1,014
Other NON Current Assets	1,899	1,262	1,142	1,056	1,056	1,056
Goodwill	175	175	175	175	175	175
Current Assets	1,514	1,743	1,495	2,200	2,750	3,782
Current investments	6	10	4	4	4	4
Inventories	122	137	103	46	138	173
Trade Receivables	882	628	43	187	566	704
Cash and Bank Balances	137	447	849	1,418	1,443	2,213
Short Term Loans and Advances	52	88	3	3	3	3
Other Current Assets	314	433	493	542	595	684
Capital Deployed	14,789	38,154	37,842	37,096	43,389	45,710

Cash Flow St. (Rs. mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Profit	1,335	150	(3,336)	(2,166)	816	2,089
Add: Dep. & Amort.	955	2,642	2,832	2,889	3,033	3,185
Minority Interest	-	-	-	-	-	-
Cash profits (Inc)/Dec in	2,290	2,792	(504)	722	3,849	5,274
-Sundry debtors	(123)	255	585	(144)	(379)	(138)
-Inventories	(28)	(15)	33	58	(92)	(36)
-Loans/advances	(143)	(161)	54	209	(84)	(92)
-Current Liab and Provisions	718	(263)	(624)	(308)	1,123	353
- Other Assets	(417)	472	61	38	(54)	(89)
Change in working capital	6	289	108	(148)	514	(1)
CF from Oper. activities	2,296	3,081	(396)	575	4,363	5,273
CF from Inv. activities	(2,435)	1,554	(151)	839	(3,636)	(3,713)
CF from Fin. activities	126	(4,325)	1,857	(41)	(30)	(30)
Cash generated/(utilised)	(13)	310	1,310	1,373	698	1,530
Cash at start of the year	150	137	447	849	1,418	1,443
Cash at end of the year	137	447	849	1,418	1,443	2,213
Ratios	FY19	FY20	FY21	FY22	FY23E	FY24E
EBITDA Margin (%)	18	31	47	32	30	31
NPM (%)	8	1	(315)	(32)	4	8
Tax rate	32	88	25	25	25	25
Growth Ratios (%)						
Net Sales	26	12	(94)	546	202	24
Operating Profit	49	94	NA	335	185	28
PBIT	76	56	NA	(35)	(138)	156
PAT	16	(89)	NA	(35)	(138)	156
Per Share (Rs.)						
Net Earnings (EPS)	13	1	(30)	(19)	7	19
Valuation Ratios						
P/E(x)	38	336	(17)	(26)	68	26
P/B(x)	5	8	9	13	11	8
EV/EBIDTA(x)	17	13	166	39	14.3	11.0
Return Ratios (%)						
ROE	14	2	(53)	-53	17	30
ROCE	22	47	(27)	-6	64	67

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